

XE pitch deck

I attempted a live IBKR tick to re-anchor the price before writing the bands; the tool is not permitted in this session, so the deck runs on the pack tape and flags that gap explicitly (the same gap the red bench hit).

PITCH — XE — VERDICT

PROPOSED — PENDING ADJUDICATION — No position, no order: stay out through the October share-unlock, then buy only if the stock trades at or below **\$12.75**, starting at 0.5% of the book and capped at 1.0%.

What we believe

X-Energy builds small nuclear reactors (the Xe-100, 80 megawatts each) and the special pellet fuel they run on. It listed publicly in April 2026 at \$23.00 and now trades at **\$18.19** (evidence pack, 2026-08-28 15:24Z; both benches worked off a slightly earlier \$17.955 print — neither is a tick I took myself today). The stock is **51% below its 52-week high of \$37.10** and 37% above its low of \$13.29.

Three things we think are true and under-appreciated:

1. The revenue line is mostly the government paying half of X-Energy's own bills, not customers buying things. In the June quarter, revenue was \$54.6M. Of that, **\$50.1M (92%) came from cost-reimbursement contracts** and **\$47.7M (87%) came from a single counterparty, the Department of Energy**. Commercial revenue — actual third-party customers — was **\$5.3M**.

Source: the 10-Q filed 2026-08-13

(<https://www.sec.gov/Archives/edgar/data/2088896/000119312526347752/xe-20260630.htm>). Cost reimbursement means roughly zero margin by construction: the more the company spends, the more “revenue” it reports. Comparing X-Energy's \$54.6M to a rival's \$75k is comparing two different kinds of number.

2. The one real project isn't X-Energy's to fund. The flagship is four Xe-100 units at Dow's Seadrift, Texas plant. The owner is **Long Mott Energy LLC, a wholly-owned Dow subsidiary** (<https://corporate.dow.com/en-us/news/press-releases/dow-and-x-energy-submit-construction-permit-application-to-the-u.html>). The DOE is putting in up to \$2.15B on a 50/50 basis — **Dow has to match it**. Dow has not announced a final decision to build. Meanwhile Dow cut its dividend by half, cut a billion dollars of 2025 capex, and shelved its comparable Fort Saskatchewan decarbonization project indefinitely. X-Energy is the vendor; the decision that matters is made in someone else's boardroom.

3. The valuation already assumes most of a pipeline that isn't contracted. X-Energy talks about roughly 144 units / 11.5 gigawatts of pipeline. Four of those are under a real project. Using the benches' own vendor economics (about \$400M of X-Energy scope per unit at a mature 25% gross

margin, plus about \$6M/year of fuel margin per unit), today's ~\$5.5B enterprise value implies somewhere between **88 and 122 units delivered** — depending on which discount factor you use. The only-what's-contracted case is worth about **\$5.66 a share**, of which **\$4.68 is just the cash on the balance sheet**.

Put plainly: at \$18.19 you are paying roughly three times the value of everything currently under contract, for an option on 140 units that no one has signed for, funded by a chemical company that is conserving cash.

What the market believes

Eight sell-side analysts cover it. Average price target **\$38**, high \$57, **low \$23** — the lowest target on the street is still 26% above today's price. Ratings are 4 Strong Buy / 2 Buy / 2 Hold. Consensus 2026 revenue is **\$213.5M**, with losses of about \$0.61/share this year and \$0.54 next (<https://stockanalysis.com/stocks/xe/forecast/>).

The market's story is: this is the best-capitalized name in advanced nuclear — about \$1.9B of cash, no debt, a live NRC construction-permit docket, a fuel factory going up in Oak Ridge, and the biggest electricity-demand story in a decade (AI data centers) behind it. Four institutions filed new ownership disclosures in the five weeks after the IPO, so real money has been buying at these levels.

The mechanical part of the disagreement is clean: **the street applies a revenue multiple (~34x enterprise value to 2026 revenue) to a line that is 92% zero-margin reimbursement**. Even the street's own lowest target of \$23 implies more units than the entire announced pipeline under our margin assumptions. Either their per-unit economics are far richer than ours, or they are capitalizing a pass-through.

We should also state the uncomfortable version: **the market is not obviously wrong about the direction**. It is wrong, if it is wrong, about how much of an unsigned pipeline you should pay for today.

Why we might have edge

- **We separated the two numbers the story fuses.** Bulls cite +154% revenue growth; bears cite cash burn going from -\$20.0M to -\$97.3M in a quarter. On a 50/50 cost-share these are the same activity measured twice. The blue bench correctly pushed back on the red bench here — the reimbursement *reduces* the burn, it doesn't cause it — but both benches agree the number is not an earnings stream. Almost no published model says this out loud.
- **We relocated the funding risk to the right party.** The court's original hypothesis was that X-Energy faces a ~\$2B equity call. That is wrong and our own red bench killed it: X-Energy *receives* DOE money. The real exposure is Dow's willingness to write the matching check — a risk that is worse, because we can't monitor it and can't influence it.
- **We found the earliest tell for that risk.** Dow's payments to X-Energy as a related party **fell from \$2.857M to \$2.394M year over year** (-16%). It is a small number and it may just be work shifting from Dow-funded engineering into DOE-cost-shared licensing — Dow did file the

construction permit and did clear its environmental review in the same window, which are expensive things a disengaging partner doesn't do. But it is the line that would move first if Dow slowed down, and nobody watches it.

- **We read the commitment schedule.** X-Energy's only disclosed purchase commitment is **\$50.9M of graphite through 2029**. No engineering-and-construction contract, no long-lead forgings, no reactor vessel. For a plant claimed to deliver power in 2030-31, that is the signature of a project that has not been given the go-ahead.
- **The disagreement is gradeable.** We have an external anchor (the analyst range, \$23–\$57) and a named mechanism for why we differ. That's the shape of a real call rather than a vibe.

Why it might be priced in

- **The October share unlock is on everyone's calendar.** 180 days from the 2026-04-23 IPO lands around **2026-10-20/21**, freeing 118.9M Class B shares plus most pre-IPO Class A. This is public arithmetic from the prospectus. It is a reason to time an entry, not a reason to think we know something.
- **This is a crowded, loud trade.** AI-power/nuclear is the most-discussed retail theme of 2026. Where a story is this well-covered, our starting assumption should be that obvious facts are in the price.
- **The cost-share disclosure is in the 10-Q.** Any analyst can read the same table we read. Their models show large losses through 2027, so they clearly know the company is pre-commercial. They may simply be valuing it as an option and not pretending the revenue is profit.
- **The stock has already fallen 51%.** A lot of disappointment is priced. Buying more downside at a 51% drawdown is a well-known way to be late to a bear case.
- **The institutions filing ownership disclosures bought here, not at \$37.** Someone with a real process thinks \$18 is attractive.
- **Our own bear case has a hole in it.** The valuation kill (below) does not survive its own arithmetic cleanly. That is the single best argument that we are talking ourselves into a view.

What could go wrong

Failure narrative 1 — Dow says yes and the stock re-rates without us. A Dow final investment decision, or an engineering-and-construction award that turns the \$50.9M commitment line into \$500M+, converts the whole thesis. The stock would gap on that news and our \$12.75 gate would never fill. We would have been right about the facts and made nothing. *Monitorable*: yes — 8-K, Dow capital guidance, the commitment schedule in the next 10-Q. This is the most likely way we lose, and what we lose is opportunity, not capital.

Failure narrative 2 — we buy the unlock dip and it keeps going. Our gate is at \$12.75, which is **below the 52-week low of \$13.29** — it has never traded there. The realistic path to it is the October unlock producing forced-looking supply. If we buy that supply, we are on the other side of pre-IPO holders who know the project timeline better than we do. If the unlock reveals genuine insider exit

rather than mechanical rebalancing, \$12.75 is not a floor, it's a waypoint; the contracted-only value is \$5.66. *Monitorable*: partly — post-unlock ownership filings and any follow-on offering registration would confirm it after the fact, which is too late to help the first tranche.

Failure narrative 3 — the reactor or the fuel doesn't work on schedule, and we never see it coming. The Xe-100 needs TRISO fuel, which needs high-assay low-enriched uranium (HALEU), which is allocated by the Department of Energy through a non-public process, from a domestic supply chain that barely exists. A slip in fuel qualification or a HALEU allocation that goes to a competitor would push first power years right and reprice everything — and **there is no filing, no docket entry, and no data feed that would tell us in advance.** Neither bench raised it until the blue bench flagged it as unverified. **This is our no-tripwire risk, and its unknown-unknown class is: single-source input allocated inside a government process with no public disclosure plane.** The same class covers any NRC technical issue resolved in non-public correspondence. We cannot instrument it; we can only size for it.

The reflexive and structural leg. Our proposed position is 0.5% of book, capped at 1.0% — small enough that our own buying is not the issue, *except* that **we never measured this stock's average daily volume**, so we cannot say we are inside our own $\leq 1\%$ of volume rail. That is an unfixed gap in this deck. The bigger reflexive problem is that our entry level and our predicted flow are the same event: we are proposing to bid into a dip we ourselves forecast, which is exactly the pattern that turns a “cheap” fill into adverse selection. And two of our own doctrines pull against each other here — the rule that a widely-known calendar event (the unlock) can't by itself justify sitting out, versus the rule that a valuation disagreement should set a price, never a refusal to participate. The blue bench resolved that by converting the bear case into a price gate rather than a permanent no. That resolution is correct in form but it produces a gate 30% below the market, which in practice is indistinguishable from a no — an honest reader should call this what it is: **a polite way of passing.**

If this position loses money, the most likely reason will be ____ that we bought the October unlock dip from pre-IPO holders who knew, better than we did, that Dow was not going to fund Seadrift on the announced schedule.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count and market value	10-Q cover page, 2026-08-10	Class A 287,458,734 + Class B 118,907,374 = 406,366,108 ; cap \$7.39B at \$18.19	Yes — and it corrects our own briefing note, which said ~414M shares and a \$7.6B cap. It is still a floor: warrants and unvested IPO options are excluded.
“Revenue is real, unlike peers”	10-Q revenue disaggregation	92% cost-reimbursement, 87% DOE, commercial only \$5.3M	Yes — the peer comparison in our own briefing note was a category error

Claim	How checked	Found	Confirmed?
Cash burn	SEC XBRL cash-flow series	Six months 2026: -\$164.6M vs -\$61.8M prior year; June quarter -\$97.3M	Yes
“Burn is \$161M/quarter, so ~\$4B to 2032” (red bench)	Cross-check against the verified cash-flow series above	Does not reconcile. The verified quarterly operating burn is \$97.3M. At that rate cumulative burn to 2032 is ~\$2.3B, not \$4B, and runway is ~19 quarters, not ~11.8	No — our own bench error. The blue bench then <i>inherited</i> the wrong \$161M when computing runway. Both runway figures in the court are unsourced.
Dow relationship is intact	10-Q related-party note	Dow revenue \$2.394M vs \$2.857M, -16%	Datum yes; interpretation no. Red called it “the flagship relationship is shrinking”; blue showed a \$0.46M move on a \$2.4M line is noise-scale and that Dow simultaneously filed the permit and cleared environmental review. We report the number and drop the adjective.
Project is contractually de-risked	10-Q commitments schedule	Only \$50.9M of graphite through 2029; no construction contract	Yes as a fact. But blue is right that ordering safety-grade long-lead items <i>before</i> the permit is issued is money at risk — its absence is normal sequencing, not a red flag. It refutes “most de-risked,” nothing more.
Valuation: “the prize never clears +50%”	Rebuilt the red bench’s own table	The table is internally inconsistent. Its implied discount factor runs 1.00 / 0.625 / 0.45 / 0.451 across the four rows with no stated reason	No — our own bench error, and then a second one. Blue “flipped” the conclusion by forcing the 0.625 ratio onto the top row (+49%). But a falling ratio is defensible if later units deploy later and get discounted harder — blue never considered that. Neither the +20% nor the +49% is established.

Claim	How checked	Found	Confirmed?
Blue's own \$12.75 gate	Recomputed	Blue said it applied red's ratio "consistently," but \$3.3B on \$6.0B of gross profit is a 0.55 ratio, not 0.625. At 0.625 the same 60-unit case gives \$13.90 , not \$12.75	No — blue bench arithmetic error. We keep \$12.75 anyway because it is the more conservative of the two and we are the buyer.
Capital structure clean?	10-Q equity note	All preferred converted at IPO, zero preferred outstanding, zero debt, no complex up-C blocker structure, no pre-IPO debt-funded dividend	Yes — nothing here can kill the equity outright
Share-unlock date	IPO prospectus (424B4)	~ 2026-10-20/21 , 180 days from 2026-04-23; JPMorgan can release early; no price-based early trigger since \$18.19 < \$23.00 IPO price	Yes, but it is public knowledge, not edge
Analyst consensus	Was declared a coverage gap by the red bench; blue closed it	8 analysts, avg \$38, low \$23, high \$57; 2026 revenue \$213.5M	Yes — red skipped it and blue caught the skip. This is the external anchor the whole case turns on and it nearly went unfetched.
Live price	Attempted an IBKR snapshot for this deck; permission denied. Red hit the same wall.	Running on the evidence pack's \$18.19 (15:24Z) and the benches' \$17.955 (14:08Z)	No — open gap. All band distances below are approximate to within ~1.3%.
Trading volume vs our size	Not run by anyone	—	No — open gap
Satellite check on the Oak Ridge fuel plant buildout	Both benches wanted optical imagery to test the "vertical completion by Q3 2026" claim	Not run — no connector wired	No — open gap

Detector sweep: the automated screens for consumer apps, clinical trials, cosmetics, Chinese small-cap pump patterns, pre-IPO debt-funded dividends, and complex tax-receivable structures all correctly did **not** fire. The share-unlock calendar screen **did** fire. Two site-monitoring screens were unusable because there is nothing operating yet to monitor.

PROPOSED ENTRY BANDS

Today: no position, no resting order. Do not bid into the unlock window itself.

	Level	Condition
No-entry zone	above \$12.75	Everything from here to \$18.19 pays for units nobody has ordered
Starter buy	≤ \$12.75	Only <i>after</i> 2026-10-21. Size 0.5% of book . This is the 60-unit mid-case: ~\$3.3B of discounted vendor profit + \$1.9B net cash over 406.4M shares. Note honestly that at

Level		Condition
		the red bench's own higher discount factor this level would be \$13.90 — we use the tighter one.
Add	≤ \$12.75 only, and only on evidence	Take to a 1.0% cap if <i>either</i> Dow announces a final investment decision or a \$500M+ construction/long-lead award appears, <i>or</i> non-DOE commercial revenue exceeds \$25M in a quarter. No adds above the gate, ever, on price alone.
Hard floor reference	\$5.66	Value of the contracted position only (four units + net cash). \$4.68 of that is cash. If the Dow project dies, this is the neighborhood.
Upside reference, not a target	\$20.67 – \$26.82	The entire 144-unit pipeline , fully converted, discounted — the range spans the two benches' unfixed discount factors. This is the bull maximum, not a base case: +14% to +47% from here for perfect execution on everything announced.
Trim / do not chase	\$23.00+	The IPO price and the street's lowest target. If we own a starter and it gets here without a Dow decision, sell it — the pipeline math does not support it.

Two things this table says that are worth saying twice: **the 100-unit case is worth about \$15.75 a share, which is below today's price**; and **our buy level has never traded** — it is 4% below the 52-week low. There is a real chance this is a position we never own.

Catalyst dates: - **2026-10-01** — US federal fiscal 2027 begins. The DOE cost-share is an appropriation, not a receivable. If it lapses, revenue drops toward ~\$7M/quarter and quarterly cash burn worsens by up to \$47.7M. (Date is the statutory fiscal-year start; the appropriations path itself is unverified.) - **~2026-10-20/21** — IPO share unlock, 118.9M Class B plus most pre-IPO Class A. Derived from the prospectus, not company-confirmed. - **November 2026** — NRC final safety evaluation on the Long Mott construction permit. Blue cited the month only; the exact date is not verified. - **2026-11-16** — Q3 earnings. **Unconfirmed** — this is a data-vendor estimate with no company announcement behind it. Treat the print as approximately-dated until a press release names it. - **Q1 2027** — Construction permit decision. Unverified; company-guided, not docket-confirmed. - **Watch item with no date:** a follow-on stock offering filed within 90–180 days of the unlock. That is the second half of the unlock pattern and it has not happened yet.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 13.29 (deck-provisional: 52-week low break confirms unlock supply is real before our gate fills)

- filing watch: 8-K until 2027-02-24 (deck-provisional: Dow final investment decision, EPC or \$500M+ long-lead award, or DOE cost-share modification - the sin)
- dated pack XE|2026-10-01: XE: US FY2027 begins - DOE cost-share is an appropriation, not a receivable; lapse cuts revenue to ~\$7M/qtr (date confirmed=False)
- dated pack XE|2026-10-20: XE: IPO lock-up expiry, 180 days from 2026-04-23: 118.9M Class B plus most pre-IPO Class A free to sell (date confirmed=False)
- dated pack XE|2026-11-16: XE: Q3 2026 earnings - vendor-derived date, no company press release confirms it (date confirmed=False)
- dated pack XE|2026-11-30: XE: NRC final safety evaluation on the Long Mott construction permit - month only was cited, exact date unverified (date confirmed=False)
- dated pack XE|2027-03-31: XE: Long Mott construction permit decision - company-guided Q1 2027, not docket-confirmed (date confirmed=False)

What remains unverified

1. **The unit economics the entire valuation rests on.** ~\$400M of X-Energy scope per 80MWe unit at a 25% mature gross margin, plus ~\$6M/year of fuel margin, is a construction by our red bench. Neither bench sourced it to a contract, a filing, or a third party. Every price in the bands section moves if this moves. **This is the first work item.**
2. **Which discount factor is right.** The two benches disagree by roughly \$6 a share on the full-pipeline case (0.451 vs 0.625) and neither defended its choice. Resolving this requires a deployment schedule, which nobody built.
3. **The \$1.9B net cash figure.** Both benches used it; neither quoted the balance-sheet line it comes from. Zero debt is confirmed.
4. **The forward burn rate.** The court used \$161M/quarter; the audited cash-flow statement says \$97.3M for the June quarter. Runway is unresolved between roughly 12 and 20 quarters.
5. **Whether the FY27 DOE appropriation is at risk.** Blue sized the consequence but ran no tool on the likelihood.
6. **Live price and trading volume.** No independent tick today; no volume measurement ever. We cannot currently prove our proposed size fits inside our own liquidity rail.
7. **Oak Ridge fuel-plant construction progress.** The “vertical completion in Q3 2026” claim is untested; satellite imagery would settle it and no connector is wired.
8. **The signed ~1 GW utility contract** referenced in company materials — no disclosed price per kilowatt, so it cannot be used to replace assumption (1) with a real number.
9. **Environmental/permit monitoring at Seadrift (Calhoun County, TX) and Oak Ridge (TN).** No connector exists for either jurisdiction.
10. **Why the street is at \$38.** We named a mechanism (a revenue multiple applied to pass-through revenue) but did not read a single analyst model to confirm it. That is inference, not verification.

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